

Executive Summary

Overview

A cybersecurity risk assessment was conducted for CloudLedger Ltd, a UK-based Software-as-a-Service (SaaS) provider offering cloud accounting solutions to small and medium-sized businesses. The purpose of this assessment was to identify information security risks affecting the organisation's assets, systems and business operations, and to provide recommendations for reducing risk exposure.

The assessment reviewed critical business assets including customer data, Microsoft 365 services, Azure-hosted infrastructure, employee devices, source code repositories and third-party service providers. Risks were assessed using a qualitative methodology based on likelihood and impact ratings.

Top Risks Identified

The assessment identified several high-priority risks that could significantly impact the confidentiality, integrity and availability of CloudLedger Ltd's information assets.

Phishing and Account Compromise

Employee accounts within Microsoft 365 are vulnerable to phishing attacks, which could result in unauthorised access to business systems and sensitive customer information.

Customer Data Breach

Unauthorised access to customer financial data represents one of the most significant risks to the organisation. A successful breach could result in regulatory penalties, reputational damage and loss of customer trust.

Ransomware

The organisation's remote-working model increases exposure to ransomware attacks targeting employee devices. Such an incident could disrupt operations and affect service availability.

Source Code Exposure

Unauthorised access to the organisation's source code repository could result in intellectual property theft and the introduction of malicious code into production environments.

Third-Party Supplier Risk

CloudLedger Ltd relies on external providers for payroll and other business services. Security incidents affecting suppliers could expose sensitive information and disrupt business operations.

Key Findings

The assessment identified a number of strengths within the organisation's current security posture, including the use of cloud infrastructure, antivirus protection and regular data backups.

However, several areas require improvement:

- Multi-factor authentication is not consistently enforced across critical systems.
- Access reviews are not formally documented or regularly performed.
- Third-party supplier security assessments are not currently conducted.
- Security awareness activities require further development to reduce phishing-related risks.
- Formal governance processes for policy review and risk management should be strengthened.
- Backup restoration testing is not performed regularly.

These gaps increase the likelihood and potential impact of cybersecurity incidents affecting the organisation.

Recommendations

To reduce overall risk exposure, the following actions are recommended:

1. Implement multi-factor authentication across all business-critical systems.
2. Conduct regular security awareness and phishing training for employees.
3. Introduce formal access review processes and strengthen access controls.
4. Establish a supplier risk management programme to assess third-party security practices.
5. Perform regular backup restoration testing to validate recovery capabilities.
6. Restrict access to source code repositories and enforce least-privilege principles.
7. Review and update information security policies on a scheduled basis.
8. Conduct periodic risk assessments to support ongoing risk management activities.

Conclusion

CloudLedger Ltd operates within a sector that processes sensitive customer information and therefore faces a range of cybersecurity threats. The assessment identified several high-risk areas that require management attention, particularly in relation to phishing, customer data protection, ransomware resilience and third-party risk management.

By implementing the recommendations outlined in this report, CloudLedger Ltd can significantly reduce its exposure to cybersecurity threats, improve regulatory compliance and strengthen the protection of its

critical information assets. Continued monitoring and regular reassessment of risks will be essential to maintaining an effective security posture as the organisation grows.